

The Turn of the Bulls

Relentless selling by FIIs had dragged the Sensex below 9,000 and the Nifty below 3,000 by the last week of October 2008. It was the bleakest Diwali in six years. Every single support level for the indices was crumbling under the weight of panic selling, which in turn sparked off more panic selling. After the first wave of sell-off in January, it looked as if the Sensex would stabilize around 15,000 after a nearly 30 per cent drop from its peak. When that level gave way, investors thought 12,000 was the bottom. When that too was breached, they felt 10,000 was inviolable, no matter what. But the Sensex fell below 10,000 and then below 9,000 too in just two trading sessions. The Nifty dropped as low 2,252. The climate of fear made it appear that no target on the downside was unimaginable.

Stocks which had been touted as blue chips and world beaters in the making had been smashed out of shape, and their high-profile promoters had turned recluses. Last year during this time, the mood everywhere had been euphoric. And now the pendulum had swung to the other extreme – there was intense despair all around and some were even talking about the imminent demise of equity investment. Many witty SMS's did the rounds, rubbing salt into the wounds of those who were hit so badly they could not see the humour in them.

‘Now showing on Dalal Street: *Saare Zameen Par*’, went one of them, taking off on the Aamir Khan hit of that year *Taare Zameen Par*.

‘Full form of NIFTY: No Income For This Year’, went another.

I had made my fortune going short on the market. But there are no winners really in a bear market. While most of the profit I had encashed